

THETA



Theta tells us about how much the option price changes with a change in the time to expiry of the contract.

Option Greeks are commonly used tools by traders who trade in Options. It tells them how sensitive is an option to different factors that affect the option's price. Again, do not stress about using them from day 1. Just spend time and get comfortable with them first.

Understanding option pricing and how different factors affect this pricing is fundamentally important to understand before we move ahead with option strategies. Try spending as much time as possible on different option chains on the NSE website. Calculate Option Greeks for different options. Look for reasons behind difference in prices of different option contracts.

With this, we conclude our discussion on option pricing and the different factors that affect the price of any given option contract. Remember, practice is the key. More time you spend on the Option chain, more comfortable will you get with these factors. Now, in the next chapter, we move ahead with different option strategies. Lets get started with them.

